

October 2012. The actual peak is at 5 October 2012. In other words, it missed the prediction by just 11 days. That's useful. Very useful.

The decline didn't take the index down to the price level of 10, though. It did see the Dow drop 1,200 points, or almost 9%.

Check Out

Even though the three peaks and domed house pattern is rare, it still has value. I was surprised at how accurate the 7-month prediction from points 4, 6, or 14 to peak 23 was. Seeing another three peaks and domed house pattern form may allow traders to buy protective puts on long positions, maybe sell some covered calls, or buy exchange-traded funds that short the indices. And when the index bottoms at point 28, they can jump in with a boatload of cash and ride the recovery.

Lindsay also mentions the variation, domed house and three peaks, but it's even rarer than the three peaks and domed house already discussed. I don't include that variation in this edition of the book. Perhaps you can imagine it in your dreams.